

The 'Third Way'

In the years immediately following the Second World War, people in West Germany were faced with the prospect of rebuilding their country. They found themselves, literally, between two opposing political ideologies, communism and capitalism, but chose what became known as the 'Third Way', an attempt to reconcile the two. In essence this was an adoption of capitalist economic policies alongside mainly socialist social policies, a concept known as the social market economy.

Unlike social democrats, third-way adherents put an emphasis on minimal government interference in industry and commerce, preferring partnerships between public and private owners. Rather than redistribution of wealth, they recommended greater equality of opportunity. The so-called 'economic miracle' of post-war Germany was attributed to the policies of the Third Way, inspiring other countries to adopt a similar approach. It loomed large in European politics and paved the way for the more laissez-faire capitalism of the 1980s.

